1. A company has a monopoly on the production of enchanted mirrors. The inverse market demand curve for these mirrors is given by P = 200 - 3Q. The total cost of producing the mirrors is TC = 500 + Q^2. If the monopolist must charge a single price to customers, what is the profit-maximizing price?

A) $110
B) $125
C) $140
D) $160
E) none of the above

2. If a company has a monopoly and can charge only one price, price will be equal to (MARK ALL THAT APPLY)

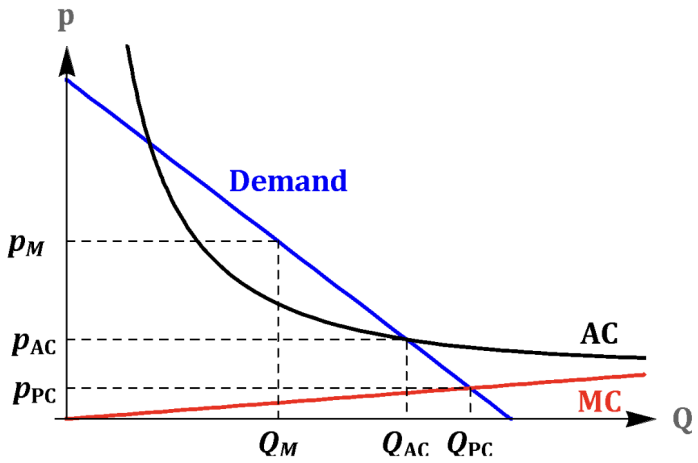
a) Marginal Revenue
b) Marginal Cost
c) Average Variable Cost
d) Fixed Cost
e) None of the above

3. A firm is a monopolist, the market demand curve is given by the equation: Q=800-5P, for what range of output will the firm's revenue be increasing?

A) 0<Q<200
B) 0<Q<400
C) 0<Q<600
D) 0<Q<800
E) None of the above

4. A monopolist faces a linear demand curve given by P=100−2Q, where P is the price and Q is the quantity. The monopolist's total cost function is TC=20Q+200. What is the deadweight loss due to monopoly? (assume the marginal cost curve would be the supply curve under perfect competition)

a) 200
b) 400
c) 600
d) 800
e) None of the above



5. Refer to the above figure. An unregulated monopolist has the above cost curves and is facing the above demand curve. What price should the government set price at?

a) P_M
b) P_{AC}
c) P_{PC}
d) none of the above

6. Which of the following actions would be consistent with a firm trying to maintain their Monopoly or gain market power (MARK ALL THAT apply)

a) petitioning the government for regulations to ensure consumer safety
b) merging with a competitor
c) asking for tariffs
d) applying for a patent on their new product
e) buying a key supplier of their inputs

7. A monopolist faces a demand curve, Q=180-P and has a constant marginal cost of 30. It has no fixed costs. If the monopolist can perfectly price discriminate what will the deadweight loss be?

a) 2812.5
b) 1875
c) 150
d) 0
e) None of the above

8. The demand curve for coffee is P=150-10Q, and a monopolist is operating in the market with C=10q. What is the deadweight loss due to monopoly? You can assume the supply curve would be the marginal cost curve under perfect competition.

A. 122.5
B. 245
C. 490
D. 980
E. None of the above

9. Which of the following would be examples of regulatory capture? (MARK ALL THAT APPLY)

a) A federal transportation agency enforces strict safety regulations on automobile manufacturers.
b) A government health agency partners closely with major pharmaceutical companies to develop new drug approval standards.
c) A banking regulatory body consistently hires top officials from Wall Street firms, who maintain close relationships with former colleagues.
d) A state energy commission imposes new environmental regulations that require expensive new machines.
e) A government agricultural agency offers subsidies to farmers and implements price controls.

10. A monopolist faces a linear demand curve given by P=200−5Q, where P is the price and Q is the quantity. The monopolist's total cost function is TC=40Q+300. What is the deadweight loss due to monopoly? (Assume the marginal cost curve would be the supply curve under perfect competition.)

A) $200
B) $400
C) $600
D) $800
E) None of the above

11. A monopolist faces a demand curve, Q=200-P and has a constant marginal cost of 20 and it has no fixed costs. If the monopolist charges one price, what will it be?

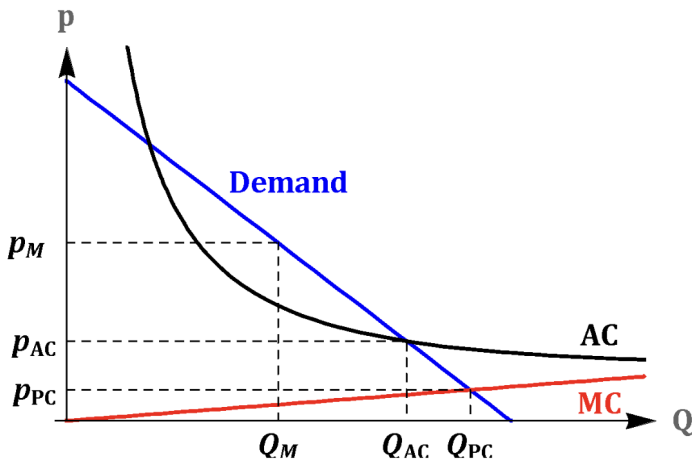
a) 110
b) 90
c) 20
d) 180
e) None of the above

12. The demand curve for coffee is P=120-2Q, a monopolist is operating in the market with $C=3q^2$. What is the deadweight loss due to monopoly (assume the market supply curve would be the marginal cost curve in perfect competition)?

a) 72
b) 36
c) 18
d) 9
e) None of the above

13. A monopolist faces a linear demand curve given by P=100−2Q, where P is the price and Q is the quantity. The monopolist's total cost function is TC=20Q+200. What is the deadweight loss due to monopoly? (assume the marginal cost curve would be the supply curve under perfect competition)

a) 200
b) 400
c) 600
d) 800
e) None of the above



14. Refer to the above figure. An unregulated monopolist has the above cost curves and is facing the above demand curve. What price should the government set price at?

a) P_M
b) P_{AC}
c) P_{PC}
d) none of the above

15. Which of the following actions would be consistent with a firm trying to maintain their Monopoly or gain market power (MARK ALL THAT apply)

a) petitioning the government for regulations to ensure consumer safety
b) merging with a competitor
c) asking for tariffs
d) applying for a patent on their new product
e) buying a key supplier of their inputs